STARDOM Ventures

Q1 2023 REVIEW

STARDOM VENTURES

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SUMMARY

- **2023 Highlights:**
  - 1 new investment in amount of $1M
  - 1 follow-ons investment in amount of $1.5M
  - Fair market value: $52M
  - Gross Multiple: 1.5x

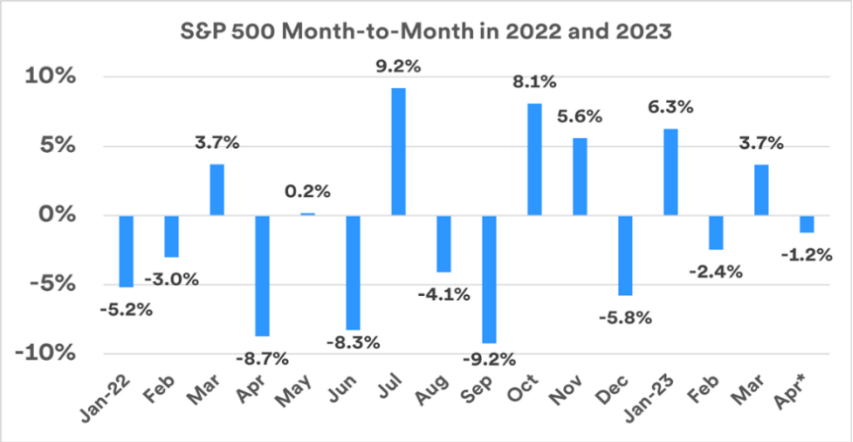
- **New investments in 2023:**
  - PeerPlay- PeerPlay Create and build brilliantly designed and masterfully executed mass-market, category leading games that captivate and monetize players for years we invested $1M as a SAFE with a Cap of $8M and a 15% discount

- **Follow-On investments in 2023:**
  - Humanz- $1.5M at a $40M pre-money valuation

OUR VIEW OF THE MARKET

The Markets:

Global public markets are currently still very volatile (as we see in the diagram below), and it is still unclear whether we are heading towards an economic recovery, or we will still be struggling with the current volatility.

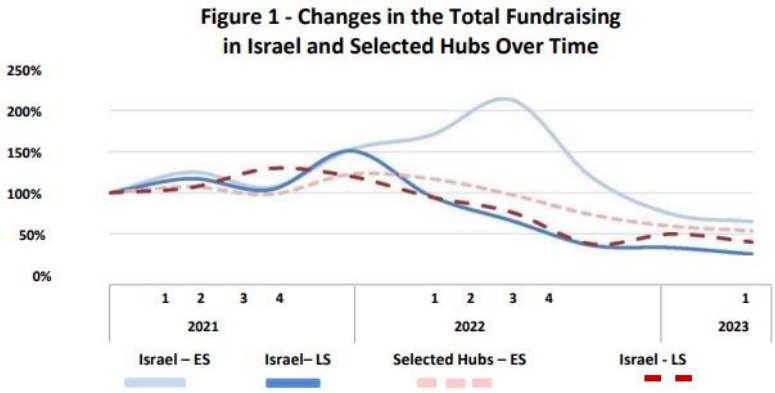


There are three factors which are:

1. **Persistent inflation:** Global markets suffer from high inflation rates. We see that beginning to change with inflation in the US going down to 4.9%, lowest in two years.
2. **Fed interest rate policy:** The Fed's monetary policy shift was a key driver of the stock market's bear market turn. The Fed hiked the short-term federal funds rate, from near 0% in early 2022 to almost 5.00% by March 2023, a significant attempt to slow inflation.
3. **Companies' Performance:** one of the key indicators of the market recovery is the performance of the public companies. Good financial results can indicate about the health of the vertical that a company operates in.

Startup Landscape:

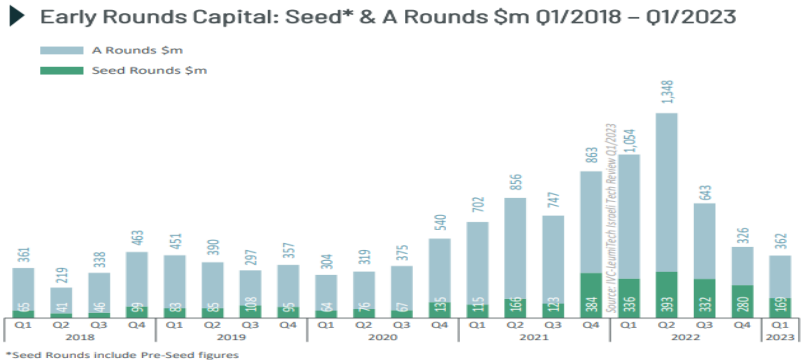
The entire market is heavily impacted by the public market, and it was the lowest quarterly amount raised by privately-held Israeli tech companies since 2018. Israeli high-tech companies raised $1.72 billion in 105 deals — a 70% decrease from Q1/2022 and 79% from the peak in Q4/2021.



OUR VIEW OF THE MARKET (cont.)

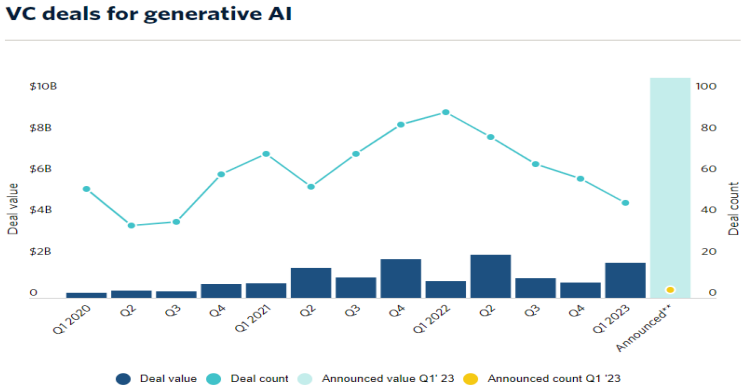
Late Stage:
The late-stage startups suffer the most, as IPOs are currently not a feasible option. According to Calcalist, During the past eight months, the leading growth funds did not make a single new investment in the Israeli ecosystem, including: Viola Growth, IGP, Pitango and Qumra. Other growth funds also did not show significant activity in the last two quarters.

Early Stage:
According to IVC, early fundraising rounds (Pre-Seed, Seed, A) totaled $531M in the first quarter of this year, a 62% decrease compared to the capital raised in these types of rounds in the first quarter of 2022. Seed and Pre-Seed rounds totaled in $162M.
The change in trend, first identified in the fourth quarter of 2022, is contrary to the trend we have seen for most of 2022, where the early rounds looked more attractive to investors. Seed investments fell more than the rest, having lost 40% in the amount of capital raised compared to the fourth quarter of 2022.



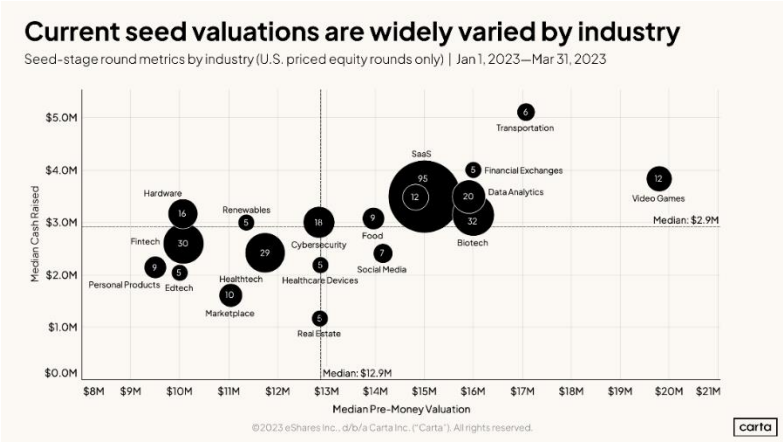
<u>Media Sector</u>:
In the previous report we have discussed the huge buzz around Generative AI. We see that as a game-changer to the media industry, as most implications of the technology as of today are around text and images.

Unlike any other sector in tech, money is being poured in an arms race between big-tech companies, with Microsoft and Google leading the race, and new startups that looking to disrupt the AI landscape with either better AI models or with new innovative products dedicated to solving more specific challenges. In Q1 2023, $1.7B were invested in AI startups (46 different deals), with additional $10B invested by Microsoft in OpenAI, valued at $27B, less than a year since it launched its first open-to-public product, Dall-E2.



OUR VIEW OF THE MARKET (cont.)

Another interesting fact to look at, is that gaming, a category that is one of the most important categories in our portfolio is still valuated higher than any other category in the seed round, with a pre-valuation of $20M. We see that as a resilience of this specific vertical.



<u>The impact of the planned judicial overhaul</u>:

According to Start-Up Nation Policy Institute (SPNI), in addition to the plunge in the figures is the global economic crisis, high interest rates and inflation and the specific crisis in the world tech sector, which led investors, such as hedge funds and private equity, to divert their investments from loss-making tech companies to higher-yielding assets, there has also been an impact from the Israeli government's planned judicial overhaul, which although it cannot be measured, both investors and entrepreneurs have claimed contributed to the decrease. The current notion is that the process has paused for now. We are keeping a close watch on the potential impact of that as well.

<u>Our Portfolio</u>:

As we communicated in the previous quarter, we focus on assisting our portfolio companies to secure their runway for 2023 either by reducing costs or through different mechanisms of financing – rounds, shareholders loans or external loans.

FINANCIALS

As of March 31, 2023

PORTFOLIO STATS

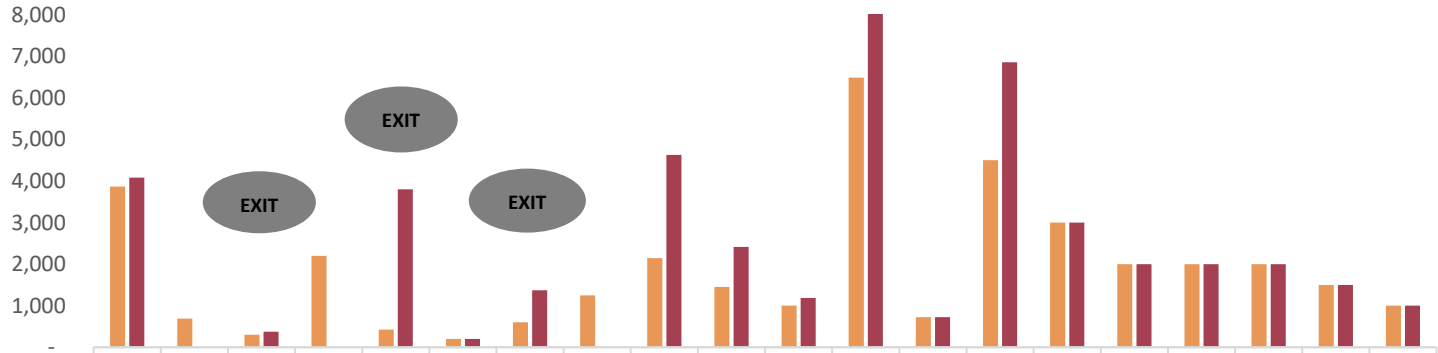
(In US thousands)

Fair market value	51,611	Number of First checks	20
Cost of portfolio companies	37,336	Avg amount of First checks	1,059
Gross Multiple (*)	1.5x	Number of Follow-ons	21
Number of exits	3	Avg amount of Follow-ons	770

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

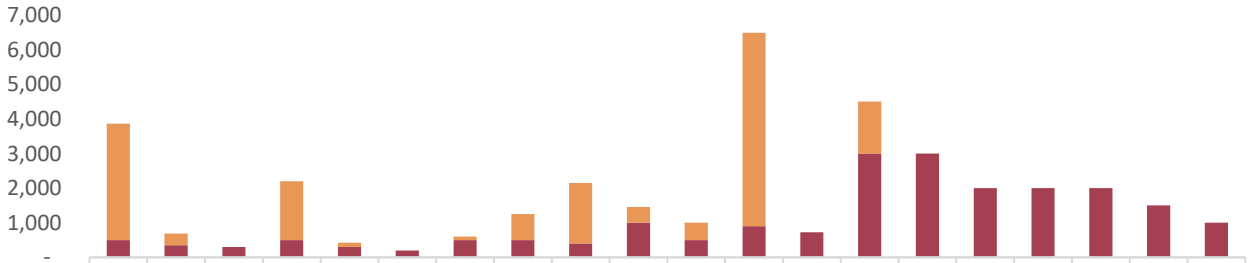
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Ludeo	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid	Peerplay
FMV	4,081	-	375	-	3,800	200	1,370	-	4,629	2,414	1,186	14,475	724	6,857	3,000	2,000	2,000	2,000	1,500	1,000
Cost	3,864	690	300	2,197	425	200	600	1,250	2,146	1,453	1,000	6,487	724	4,500	3,000	2,000	2,000	2,000	1,500	1,000
Holding %	6.2%	Dissolved	Exit	Dissolved	Exit	SAFE	Exit	Dissolved	5.8%	9.7%	7.7%	13.8%	7.8%	13.7%	18.8%	21.1%	SAFE	19%	SAFE	SAFE
Multiple X	1.1	-	1.3	-	8.9	1	2.3	-	2.2	1.7	1	2.2	1	1.5	1	1	1	1	1	1

PORTFOLIO ALLOCATION

(In US thousands)



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Follow-on Investments	3,364	340	-	1,697	125	-	100	750	1,746	453	500	5,587	-	1,500	-	-	-	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000	1,500	1,000

PORTFOLIO UPDATE

SYTE

ABOUT: Syte helps retailers connect shoppers to the products that inspire. It uses visual AI to create intuitive search and discovery experiences for all shoppers.

UPDATE: The company had a good first quarter in terms of revenues, however, as one of our earliest investments with a relatively high valuation, the company is challenging with finding additional resources for funding. We are currently in the process of evaluating various options to proceed with.

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and looking for new verticals to penetrate in order to boost performance and profitability.

MAAPILIM

MAAPILIM

ABOUT: The company offers grooming and lifestyle products created with natural ingredients taken from the Mediterranean.

UPDATE: The company failed to receive additional funding and despite a good momentum towards the end of Q4 2022, we were unable to agree on the terms of additional funding round, the board has decided to discontinue the support in the company and to shut down the operation. As a result we are writing off an amount of $1.25M.

PORTFOLIO UPDATE (cont.)

FLYING PIGS

ABOUT: Piggy is a mobile app that makes it easy and fun to create documents, presentations, web pages, invitations, and blog posts on a mobile phone, all enriched with visual storytelling features.

UPDATE: The company is still looking and experimenting what would be an ideal market product fit. The burn has dramatically decreased as a result of that, and the company has enough cash until the end of 2024.

DEEPDUB

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: Deep dub has signed some major deals with Hollywood studios and beginning to generate more revenues according to its plan.

NOW YOU KNOW. (FORMERLY GRASP)

ABOUT: The company is leveraging technology to identify trending topics and repeatably create hit online courses, at scale. Currently, the company is releasing a new video course every month and growing its audience and technology.

UPDATE: The company is gearing up towards a Series A round, with a milestone of $2M in revenues by the end of 2023. The company is hitting its targets every quarter.

PORTFOLIO UPDATE (cont.)

NLIGHT

ABOUT: Nlight is the first software as a service (SaaS) platform that enables Mobile Games Product and Live Ops competitive intelligence. Nlight is based on proprietary machine learning and data mining technologies.

UPDATE: Due to the fact that the technology was blocked by Google, the company is pivoting to locate early stage opportunities in the field of gaming and invest in them.

LUDEO (FORMERLY EDGE GAMING)

ABOUT: The company is developing a cutting-edge gaming experience allowing gamers to capture their gameplay highlights and instantly make them into a **"Playable"** - an actual game "chunk" that others can play.

UPDATE: The company is growing rapidly, with current daily games of over a 1M. The average player now plays 200 games per session.

HUMANZ

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.

Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies, including L'Oréal, Unilever, Kimberly-Clark, Nestlé, Cipla, Reckitt Benckiser, Universal McCann, and GroupM.

In February 2023, the company raised $10 million in Series A.

Series A Round: $1.5M at $40M pre-valuation (13.7%)

MUUULA

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: First game "Memory Pirates" has already been tested by more than 25K players worldwide and will be ready for production by the end of 2023.

PORTFOLIO UPDATE (cont.)

T R E A T

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

UPDATE: Treat is growing 25% MoM with a goal of reaching $1M in ARR by the end of 2023. The goal is raise an additional round in Q2 2024

Seed Round: $2M at $7M pre-valuation (21%)

B O T I K A

ABOUT: Botika researched, developed and successfully launched into production a one of a kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

UPDATE: As part of the momentum change in the market, and the unclear path to revenues, the company is now evaluating new directions in which it can generate substantial revenues as well as raise additional funding. The goal is to find a profitable B2B use case for the exact same avatar technology that the company has developed over the last year.

T E D O O O

ABOUT: Tedooo is the first B2B social platform customized for the trade world!

The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business. Tedooo already has users from more than 150 different countries and is growing rapidly.

PORTFOLIO UPDATE (cont.)

ASTRID ENTERTAINMENT

ABOUT: A gaming company focused on developing fantastical living worlds that inspire positive, community play and can cross over into different mediums, including film and TV

PEERPLAY

ABOUT: A gaming company focused on Create and build brilliantly designed and masterfully executed mass market, category leading games that captivate and monetize players for years.

Our Investment: $1M as a SAFE with a Cap of $8M and a 15% discount.